

PRATIP KAR
EXECUTIVE DIRECTOR

Circular NO.1

TO ALL REGISTERED FIIS

IIMARP/30022/93
December 10, 1993

Dear Sir,

Please note that while registering you as a Foreign Institutional Investor, you were required as a condition of your registration, to ensure that at least 70% of the investments made by you was in equity or equity related instruments. This condition was till now been applied to the investment made for each sub-account managed by you. This implied that the aggregate investment made for each sub-account was required to have the composition of equity and debt in the ratio of 70:30.

The condition has since been amended as follows:

“As a registered FII you may invest in all securities in the primary and secondary markets such as shares, debentures, warrants of companies listed/to be listed on the stock exchanges in India including OTC Exchange of India, specific schemes floated by domestic mutual funds for institutional investors and such other securities as may be approved by SEBI from time to time. **The aggregate investment in equity and equity related instruments such as fully convertible debentures and convertible portion of partially convertible debentures, tradeable warrants made by you on behalf of all approved sub-accounts for which you may be investing in India, shall not be less than 70% of the aggregate investments made by you in all the approved sub-accounts.”**

This would imply that the ratio of 70:30 between equity and debt would now be applied at global level of the aggregate investments made by a Fund Manager/Power of Attorney Holder/Nominee Company through the sub-accounts approved by us, wherever the Fund Manager/Power of Attorney Holder/Nominee Company is a registered FII, instead of at the level of each sub-account.

Please note that in cases where the registered FII is a Fund itself, the ratio would continue to be applied to the Fund only.

The amendment comes into effect immediately.

Yours faithfully,

PRATIP KAR

Cc: The Controller, Exchange Control Department, Reserve Bank of India, Central Office, S B S Marg, Bombay 400 023.

Cc: The Manager, Hongkong Bank/Citibank N.A./Standard Chartered Bank